Nigeria's Oil Economy

Tinubu's Subsidy Shock, the Naira Crisis, and West Africa's Giant at a Crossroads

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Executive Summary

Nigeria stands at a structural crossroads. Oil revenues account for 61.6 per cent of government budget receipts FT[2025-04-01], yet the production and refining apparatus has historically failed to serve the domestic market, leaving manufacturers exposed to chronic foreign-exchange shortages and an unstable currency. President Bola Tinubu's 2023-vintage reform programme — anchored on naira liberalisation and the removal of fuel subsidies — has delivered a sharp devaluation shock to industry while simultaneously unlocking renewed emerging-market interest in Nigerian sovereign debt FT[2025-03-19]. The Dangote refinery represents the single largest private bet on import substitution in the country's modern history, with a plan to supply Nigeria with all of its refined-product needs and to raise approximately $4bn by floating a minority stake on the Nigerian Stock Exchange FT[2026-06-24]. Whether that wager pays off depends on whether the macroeconomic stabilisation now underway can translate into durable infrastructure investment, particularly in electricity — a constraint manufacturers name as one of their most acute structural burdens FT[2025-08-19].

Oil Economy and the Dangote Refinery Pivot

Nigeria's crude grades — principally Bonny Light — have historically been benchmarked inside the OPEC Reference Basket (ORB), underscoring the country's role as a core OPEC producer [RAG: OIL_ENERGY_RAG — OPEC Annual Statistical Bulletin 2024, p.87]. Despite this status, domestic refining capacity failed for decades to keep pace with consumption. Petroleum Act contraventions related to product imports operated for years in a grey zone, a dynamic directly referenced in coverage of Dangote's refinery ambitions FT[2026-06-24].

Aliko Dangote's $4bn refinery, now operationally described as the leading generator of foreign-exchange inflows of its kind, is structured around a clear import-substitution model: the objective is to supply all of Nigeria's refined petroleum products domestically, along with fertiliser and plastics, while Dangote also intends to raise approximately $4bn by floating a minority stake in the refinery on the Nigerian Stock Exchange FT[2026-06-24]. To access lower-cost financing, the government's sovereign debt vehicle used naira-denominated bonds plus US Treasuries as collateral in a $9.3bn swap arrangement to lower-cost capital — a structure likened by analysts to a "carry trade" FT[2026-04-14].

The EIA Short-Term Energy Outlook for July 2026 shows global OPEC crude production continuing alongside non-OPEC supply in a range covering 2024–2027, with West Africa among the constituent OPEC regional blocs [RAG: LNG_ENERGY_RAG — EIA STEO July 2026, p.16 and EIA IEO2017 p.21]. Within this context, Nigeria's ability to monetise its upstream position depends critically on closing the gap between crude output and domestic refining — a gap the Dangote facility is now designed to close

FT[2026-06-24].

Currency Crisis, Tinubu Reforms, and the Manufacturing Squeeze

The defining economic event of the Tinubu administration's first two years was the naira liberalisation. The central bank removed a peg that had long overvalued the currency against the dollar, leaving the naira vulnerable even after the regime change FT[2025-05-31]. For manufacturers operating in Nigeria — including Procter & Gamble, Unilever, Sanofi, Bayer, and PZ Cussons — the devaluation created severe balance-sheet stress: inventories held in naira terms lost value against dollar-denominated import costs FT[2025-08-19].

The Manufacturers Association of Nigeria (MAN) articulated the bind directly: the naira was depreciating, foreign-exchange inflows were drying up, and the lending rate rose above 25 per cent, according to industry executives quoted in coverage of the crisis period FT[2025-08-19]. CAP chief executive Bolarin Okunowo characterised the situation as "the worst period I've ever" experienced in terms of foreign-exchange access, with the big supply chain shift failing to materialise as conditions remained volatile and the naira continued depreciating FT[2025-08-19].

Beyond currency, manufacturers consistently point to two structural constraints: insufficient electricity infrastructure and bad roads FT[2025-08-19]. These physical-infrastructure deficits impose a cost floor on Nigerian manufacturing that no monetary reform alone can dissolve.

By late 2025 the picture began to shift at the margin. Nigeria's central bank lowered its benchmark lending rate FT[2025-09-24], signalling the beginning of an easing cycle as inflation pressures moderated. By early 2026, Nigerian markets had become top-performing among emerging-market currencies since the US election, with improving net reserve levels FT[2025-03-19]. Analysts at Royal London Asset Management described the country as having moved from "uninvestable" two years prior to a market that attracted wider emerging-market interest FT[2025-03-19].

Fiscal Position and Oil Revenue Dependency

The concentration of state revenues in oil exposes Nigeria's public finances to commodity-price cycles in a structurally acute way. Oil accounts for 61.6 per cent of government budget revenue according to the 2025 budget FT[2025-04-01]. This figure renders the fiscal position vulnerable to any sustained period of lower oil prices — a risk that is explicitly noted in coverage of oil-revenue-dependent sovereign financing globally FT[2025-04-01].

The sovereign-debt architecture reflects this vulnerability. Nigeria's engagement with naira-denominated swaps and collateralised borrowing instruments — including the $9.3bn swap structure — reflects both the need to manage gross reserve optics and the desire to access lower-cost international capital without full dollar-denominated exposure FT[2026-04-14]. Emerging-market portfolio managers have noted that while the currency stabilisation has improved net reserve positions in recent months, the underlying structural reliance on oil receipts remains unchanged FT[2025-03-19].

The broader African debt sustainability context is governed by the SDG 17 framework, which calls for coordinated policies toward long-term debt sustainability and addresses the vulnerability of developing countries to debt crises [RAG: UN_PRIMARY_RAG — Transforming Our World: The 2030 Agenda for Sustainable Development]. Nigeria's engagement with international creditors and its approach to sovereign-debt workouts in Africa was also noted in pension fund discussions of emerging-market debt FT[2026-04-14].

Demographic Scale and the Diaspora Remittance Channel

Nigeria's population of approximately 200 million is referenced directly in the context of multinational corporations' strategic positioning in the country — firms such as PZ Cussons, Unilever, Sanofi, and Bayer regard Nigeria as a key potential emerging-market consumer base FT[2025-08-19].

The diaspora remittance channel is a significant secondary income flow. Nigeria is identified as the second largest remittance-receiving country in sub-Saharan Africa [RAG: DEMOGRAPHICS_RAG — IOM World Migration Report 2022, p.81]. In 2020, remittance flows to Nigeria declined by 28 per cent, a sharp contraction that drove the overall regional remittance figure downward; excluding Nigeria, the rest of sub-Saharan Africa grew by nearly 6 per cent in the same year despite the COVID-19 pandemic [RAG: DEMOGRAPHICS_RAG — IOM World Migration Report 2022, p.81]. This scale effect illustrates how tightly Nigeria's diaspora income channel is coupled to the region's aggregate external financing figures.

On the education side, the Federal Ministry of Education constituted a committee to develop Nigeria's first broad-based National Policy on Special Needs Education (SNE), producing a National Situation Analysis Report [RAG: EDUCATION_RAG — Special Needs Education in Africa]. This is a long-horizon human capital investment whose returns will accrue over decades, but it reflects a state capacity building effort relevant to Nigeria's demographic dividend thesis.

Outlook

Nigeria's near-term trajectory is shaped by five interdependent variables. First, the Dangote refinery's ramp to full capacity is the single most consequential supply-side event in the domestic economy — its ability to eliminate refined-product imports and generate sustained forex flows will determine whether the current account can sustain the naira stabilisation FT[2026-06-24]. Second, the lending-rate easing cycle initiated in late 2025 FT[2025-09-24] needs to transmit into lower real borrowing costs for manufacturers before the structural competitiveness gap narrows. Third, oil-price dynamics remain the dominant fiscal risk: with oil at 61.6 per cent of budget revenue FT[2025-04-01], any prolonged price weakness reopens the deficit dynamics that triggered the 2023 crisis. Fourth, electricity and road infrastructure remain the deepest structural bottlenecks, with manufacturers citing them alongside FX as co-equal constraints FT[2025-08-19]. Fifth, the remittance channel — given Nigeria's status as the second-largest recipient in sub-Saharan Africa — is a material swing factor that is sensitive to diaspora income conditions and transfer-cost dynamics [RAG: DEMOGRAPHICS_RAG — IOM World Migration Report 2022, p.81].

The reform programme has survived the initial shock phase. The question for the medium term is whether the policy framework can hold long enough for the Dangote bet, the FX liberalisation, and the easing cycle to compound into durable growth — without another commodity-price reversal or political dislocation reopening the fiscal gap.

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